

CHAPTER 13

Other Special Factors in Bond Analysis

“Parent Company Only” vs. Consolidated Return. Both bondoffering circulars and annual reports almost invariably present the earnings statement of a public-utility holding-company system in a consolidated form, i.e., they start with the gross revenues of the operating subsidiaries and carry the figures down through operating expenses, depreciation, fixed charges, and preferred dividends of subsidiaries, until they arrive at the balance available for the parent company’s interest charges, and finally at the amount earned on its common stock. There is also published, largely as a matter of form, the income account of the parent company only, which starts with the dividends received by it from the operating subsidiaries and therefore does not show the latter’s interest and preferred dividend payments to the public. The interest coverage shown by the income account of the parent company only is an example of the prior-deductions method, and consequently it will almost always make a better showing for the parent company’s bonds than will be found in the consolidated report. The investor should pay no attention to the “parent company only” figures and insist upon a completely consolidated income account.

Example: The following example will illustrate this point:

STANDARD GAS AND ELECTRIC SYSTEM, 1931

Item	“Parent company only”	Consolidated results
Gross revenues	\$16,790,000	\$159,070,000
Balance for fixed charges	16,514,000	57,190,000
Fixed charges	4,739,000	42,226,000
Balance for parent-company stocks	11,775,000	14,964,000
Fixed charges earned	3.48 times	1.36 times